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Study Notes

Human Development Report 2025

Basics of Human Development Report

Origins

- **The idea of human development came as a critique of the GDP-centric view of progress.**
- **Economist Mahbub ul Haq from Pakistan and Amartya Sen (Nobel laureate in economics) were the key intellectual figures behind it.**
- **The first HDR was published in 1990 by UNDP, titled *"Concept and Measurement of Human Development."***

Evolution Over the Decades

1990s: Foundational Years

- **1990: First report introduced HDI (Human Development Index).**
- **1993: HDR emphasized people's participation in development.**
- **1994: Introduced the concept of human security, linking peace, freedom, and development.**
- **1995: *"Gender and Human Development"* introduced the Gender-related indices (GDI, GEM).**
- **1997: Focus shifted to poverty and inequality as multidimensional issues.**

2000s: Broadening the Agenda

- **2000: Linked HDR with the Millennium Development Goals (MDGs).**
- **2001: Explored globalization and its impact on inequality.**
- **2002–2006: Addressed deepening democracy, cultural liberty, and aid effectiveness.**
- **2005 & 2006: Special focus on international cooperation and water scarcity.**

2010s: Sustainability & Equity

- **2010: 20th anniversary introduced Inequality-adjusted HDI (IHDI) and Multidimensional Poverty Index (MPI).**
- **2011: Report emphasized sustainability and equity together.**
- **2014: Focus on vulnerability and resilience in development.**

- **2015: Connected with the Sustainable Development Goals (SDGs).**
- **2016: Stressed human development for everyone, leaving no one behind.**

2020s: New Frontiers

- **2020: *"The Next Frontier"* explored human development in the Anthropocene, stressing climate change and planetary pressures.**
- **2021/22: Emphasized uncertain times, unsettled lives (pandemics, inequality, and global shocks).**
- **2024: Focuses on interconnected crises, polarization, and human security challenges.**

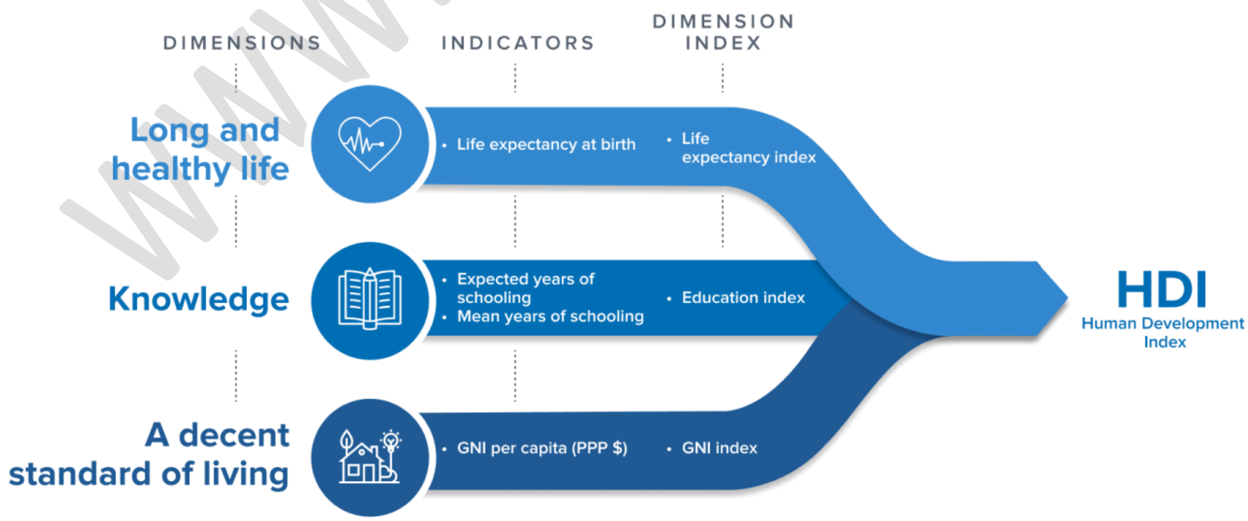
Core Concept of Human Development

Human development is defined as:

"The process of enlarging people's choices and enhancing human capabilities—so they can lead lives they value."

It stresses:

1. **Health – living a long and healthy life.**
2. **Education – being knowledgeable.**
3. **Standard of Living – access to resources for a decent life.**



The Human Development Index (HDI)

The HDR introduced the HDI as a composite index to measure human development beyond income.
It combines:

- **Life Expectancy Index (health)**
- **Education Index (mean years of schooling & expected years of schooling)**
- **Income Index (GNI per capita, PPP adjusted)**

Countries are ranked into:

- **Very High HDI**
- **High HDI**
- **Medium HDI**
- **Low HDI**

Other Indices in HDR

Over the years, HDR introduced complementary indices:

- **Gender Development Index (GDI) – compares HDI by gender.**
- **Gender Inequality Index (GII) – measures gender disparities.**
- **Multidimensional Poverty Index (MPI) – captures poverty in health, education, and living standards.**
- **Inequality-adjusted HDI (IHDI) – accounts for inequality within countries.**

Key Highlights of Human Development Report 2025

- Theme: A Matter of Choice: People and Possibilities in the Age of Artificial Intelligence.

- The report highlights AI's potential to reignite human development, provided that policies are people-cantered and focus on enhancing human capabilities.
- Ireland secured the first spot in the Index with a score of 0.972.

Global

- **Stalled Human Development Progress:** The global HDI saw its smallest increase since **1990** (excluding the 2020-2021 crisis years).
  - If **pre-Covid** trends had continued, most countries could have reached **very high human development by 2030**, this is now likely to be delayed by decades.
- **Top and Bottom Ranks:** Iceland ranked first with an HDI of 0.972, while South Sudan ranked last with an HDI of 0.388.
- **Growing Inequality:** The disparity between the richest and poorest nations has been widening, with high-HDI countries continuing to make progress while low-HDI countries face stagnation.
- **AI and Future of Work:** The report notes that **Artificial Intelligence (AI) is rapidly spreading, with 1 in 5 people globally already using AI tools.**
  - While 60% served people believe **AI will create new job opportunities,** half fear it could replace or transform their current roles.
  - The 2025 Human Development Report emphasizes the need for inclusive, **human-centered AI policies to ensure AI contributes positively to human development,** rather than exacerbating inequalities or displacing jobs.

India

- **India's HDI Ranking:** India ranked **133rd in 2022 and improved to 130th in 2023,** with its HDI value rising from 0.676 to 0.685.
  - The country remains in the **"medium human development" category,** though it is approaching the threshold for **"high human development" (HDI ≥ 0.700).**
- **Regional Comparison:** Among India's neighbors, China (78th), Sri Lanka (89th), and Bhutan (125th) rank above India, while Bangladesh (130th) is on par. Nepal (145th), Myanmar (150th), and Pakistan (168th) are ranked below India.
- **Progress in Key Areas:**
  - **Life Expectancy:** India's life expectancy rose from **58.6 years in 1990 to 72 years in 2023,** the highest ever, reflecting a strong post-pandemic recovery.
    - This progress is attributed to national health programs like **National Health Mission**, **Ayushman Bharat**, **Janani Suraksha Yojana**, and **Poshan Abhiyaan.**
  - **Education:** India's mean years of schooling have increased, with children now expected to stay in **school for 13 years, up from 8.2 years in 1990.**
    - Initiatives like the **Right to Education Act 2009, National Education Policy 2020, and Samagra Shiksha Abhiyan** have improved access, though quality and learning outcomes still require attention.
  - **National Income:** India's **Gross National Income per capita** rose over fourfold, from USD 2,167 in 1990 to USD 9,046 in 2023 based on 2021 Purchasing Power Parity (PPP).
    - Additionally, 135 million Indians escaped **multidimensional poverty** between 2015-16 and 2019-21, contributing to HDI improvement.
  - **AI Skills Growth:** India is emerging as a **global AI leader** with the **highest self-reported AI skills penetration.**
    - 20% of Indian AI researchers now remain in the country, a significant rise from **nearly zero in 2019.**

Chapter 1: Empowering people to make artificial intelligence work for human development

The report launches itself by shifting the conversation from what AI is, to how humans really use it. Its point is that the reality is not that machines are replacing humans, but whether or not AI is developed in a form that assists in human decisions and freedom. Far too often, the discussion gets stuck in two places: utopian fantasies of AI solving all, and doom-filled tales of "superintelligence wiping us out." Both distract from the very real issues in front of us—problems like biased software, job losses in particular industries, or the fact that a few giant companies control most of the tech.

That AI is more adaptable than previous technology, learns more quickly, and has been made as universally accessible as possible via tools like natural language processing renders it tremendously efficient in specific contexts, like boosting creativity, solving problems, or educating. But the self-same qualities that make it so efficient also imbue it with the ability to cement inequalties if access is controlled by the powerful.

The chapter shows us something important from the history of technology: consequences are less a product of the machines themselves and more a function of institutions, rules, and choices societies make. The takeaway, in large part, is obvious—AI does not necessarily advance human development, but if governed well, it can expand opportunities, deepen agency, and make human potential flourish.

Chapter 2: From tools to agents: Rewiring artificial intelligence to promote human development

This chapter examines how AI is no longer simply a lifeless tool that does what we command it to do. Increasingly, AI itself is an agent—it shapes decisions, forms behavior, and in places, limits what options people think they have. Recruitment algorithms, for example, can quietly screen out potential workers without clear lines of responsibility, or predictive policing can cement in place existing social bigotries.

The report introduces the idea of "power to" versus "power over." AI can give humans "power to" do something new—to detect disease earlier, for instance, or individualize education. But it can also be "power over"—where AI itself or the people in charge of it wield power over decisions, invisibly sometimes, as through recommender systems that nudge specific news items or political views.

The threat here is the "agency gap" in the report. When citizens feel that decisions are being made on their behalf without discussion—or without understanding how decisions are reached—they distrust and feel disfranchised. That's bad news both for democracy and human development.

The chapter argues that the remedies need to transcend technical solutions. We need transparency (so people know how the algorithm works), accountability (so there is someone responsible in case things go wrong), and participatory design (so there is social participation in deciding how AI is used). In short, AI should support individual's autonomy, never subvert it.

Chapter 3: Artificial intelligence across life stages: Insights from a people- centred perspective

Here the report gets remarkably human in its focus—at what points in the human lifeline does AI most concern people?.

At the young child level, educational software powered by AI can be a game changer in individualizing education. But uneven access could make rural poor children farther behind their rich peers. Overexposure and the effect on brain development are another set of concerns.

In the teen years, social media recommender systems are in the foreground. They have the power to connect teens with new groups, but they also present grave dangers: addiction, online harassment, sleep interference, and deteriorating mental health. Because recommender systems are designed with engagement in mind, they often reinforce badness or divisiveness.

As an adult, work is being transformed by AI. From smart hiring systems to work aids, it has the ability both to unlock new possibilities and generate unfair penalties. The chapter points up the danger of discriminatory hiring software but also the potential of AI to make work less mundane and more creative.

Artificial intelligence really does offer a lot for older persons in healthcare, access, and living independently. Assisted monitoring systems or assistive technology can enhance the quality of living. But, oh, the digital divide is a massive issue—it's the people who are not digitally educated or do not have access who are left behind.

The large takeaway here is that the outcome depends on policy and context in the case of AI. When governments invest in universal access, thwart malevolent use, and empower individuals, AI assists human development through a person's lifespan instead of cementing prevailing disparities.

Chapter 4: Framing narratives to reimagine artificial intelligence to advance human development

This is the chapter on the narratives we have regarding AI—and how they influence what policies get enacted and whose interests get protected. Today, two extremes predominate: one portrays AI as some kind of messiah that will fix everything, while the other forebodes over the specter of AI that will bring about the end of the world. The report argues that both of these narratives are counterproductive because they take our eye off the ball in the world, such as inequality, bias, and access.

Instead, the book contends that we have people-centric narratives that stress inclusion, justice, and agency. It provides some concise illustrations:

Disabilities: The Internet can transform lives with enabling technology but unless policies in favor of accessibility exist, the individuals with disabilities will be left behind

Care work: Stories usually view care work as something that can be automated, but actual care entails emotional and relational qualities, which no technology can fulfill. The better story would appreciate human-based care while utilizing the aid of AI in helping caregivers.

Gender barriers: Providing women with devices is only part of the solution if underlying social norms continue to constrain women. Stories have to overcome the wider cultural barriers.

Machine bias: Technical fixes can't fix biased machines. Bias is a reflection of societal biases, so the real solution is the societal biases themselves.

The big idea is just this: stories matter. If we discuss AI as empowering humanity and decreasing inequality, institutions and policies will head in that direction. If we settle with utopian or dystopian hyperbole, we will forego the opportunity to steer AI in the direction of fairness and inclusion.

Chapter 5 – Power, Influence, and Choice in the Algorithmic Age

This chapter shifts the spotlight to the supply side of AI—who controls it, who shapes it, and how it influences our choices. It shows how a handful of companies dominate AI development, infrastructure, and data, giving them outsized influence over economies and societies.

Much of the book is given over to algorithms and recommender systems, specifically the kinds that decide what news, videos, or commercials we get on the web. These systems don't just reflect our decisions—they actually manufacture them. They dictate what people believe, who they vote for, and even how polarized cultures become. This creates the ominous possibility of manipulation and concentration of authority.

Meanwhile, the chapter recognizes that algorithms in themselves are not evil. They can be applied to beneficial ends, such as improving transparency in the way governments spend money or enabling citizens to keep institutions in check. The problem is ensuring that the use of AI is driven by democratic and inclusive ends as much as commercial or political ones.

And they stress that algorithmic design is at all times value- and trade-off-inclusive. The big question then is that of whose values? Nowadays, mainly the values of the tech enterprises and the governments with the most resources. If we want that the application of AI be in the public interest, then we will require governance, regulation, and redistribution of influence.

Chapter 6: Reimagining choices: Towards artificial intelligence– augmented human development

The last chapter sums everything up and sets out its vision of how AI can really aid human development. The argument is that the use of AI should be conceived as an expansion of human capabilities rather than as a replacement. That is when the report sets out the concept of a "complementarity economy"——an economy in which the use of AI reduces repetitive or complicated tasks so that the person can deal with creativity, relationship-building, and problem-solving.

But this future entails radical transformations:

Investment in digital infrastructure: The lack of decent Internet, electricity, and devices will bar numerous countries and societies from the benefits of AI.

Augmenting human potential through schooling and training is seminal, as individuals should understand how to effectively utilize the tools of AI rather than absorb them inactively.

Closing world divides: The wealthier countries are far ahead with AI, while poor countries can be left farther behind. International cooperation and fair financing are what is needed in order to avoid having a new "AI divide."

Inclusive governance: Institutions should be citizen-centric, with citizens having a say in how the use of AI is done, as opposed to governments or businesses just deciding this.

The book also cautions that the productivity benefits from AI will not be self-automatic. Whether the world sees inequality decrease or increase is based on how fast societies overcome constraints such as uneven access, distrust, or poor institutions.

It concludes with the optimistic but urgent message that AI doesn't have to entrench cleavages. The correct choices, instead, can widen freedoms, increase agency, and enable societies to overcome challenges such as climate change, health care, and schooling. The question is if we craft policies and systems that bring those possibilities within reach.

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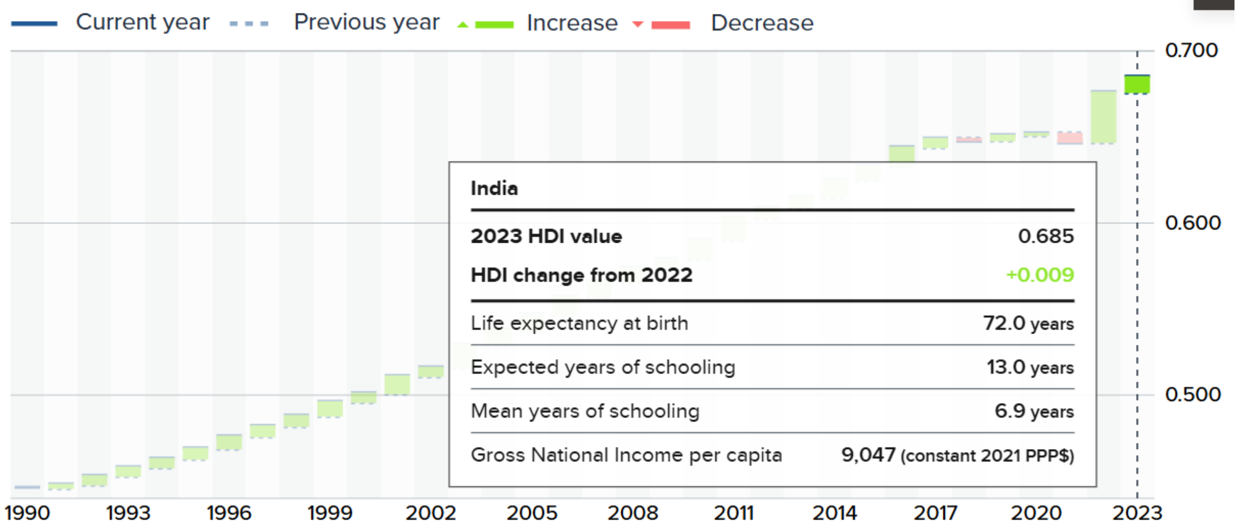
HDI ranking and value (2023)

Rank	Country	HDI value
1	Iceland	0.972
2	Norway	0.970
2	Switzerland	0.970
4	Denmark	0.962
5	Germany	0.959
5	Sweden	0.959
7	Australia	0.958
8	Hong Kong, China (SAR)	0.955
8	Netherlands	0.955
17	United States	0.938
130	**India**	0.685

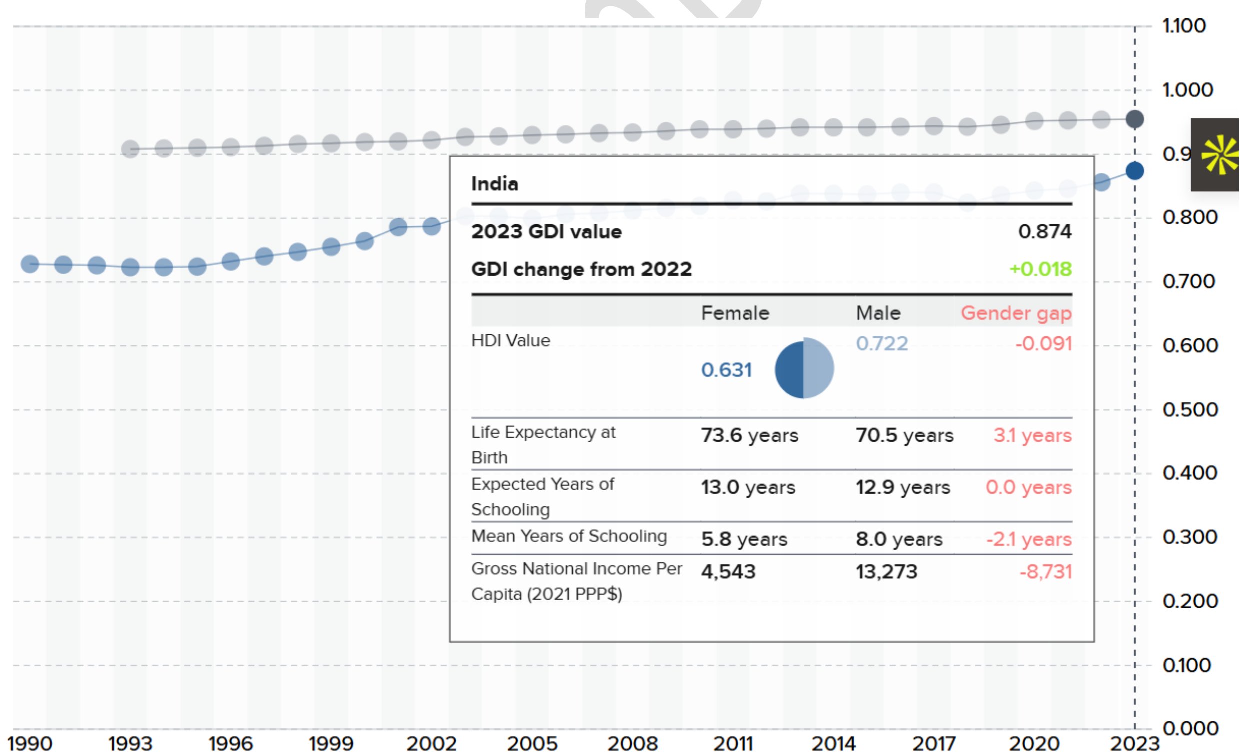
HDI: Human Development Index
Source: UNDP Human Development Report 2025

Indian Performance

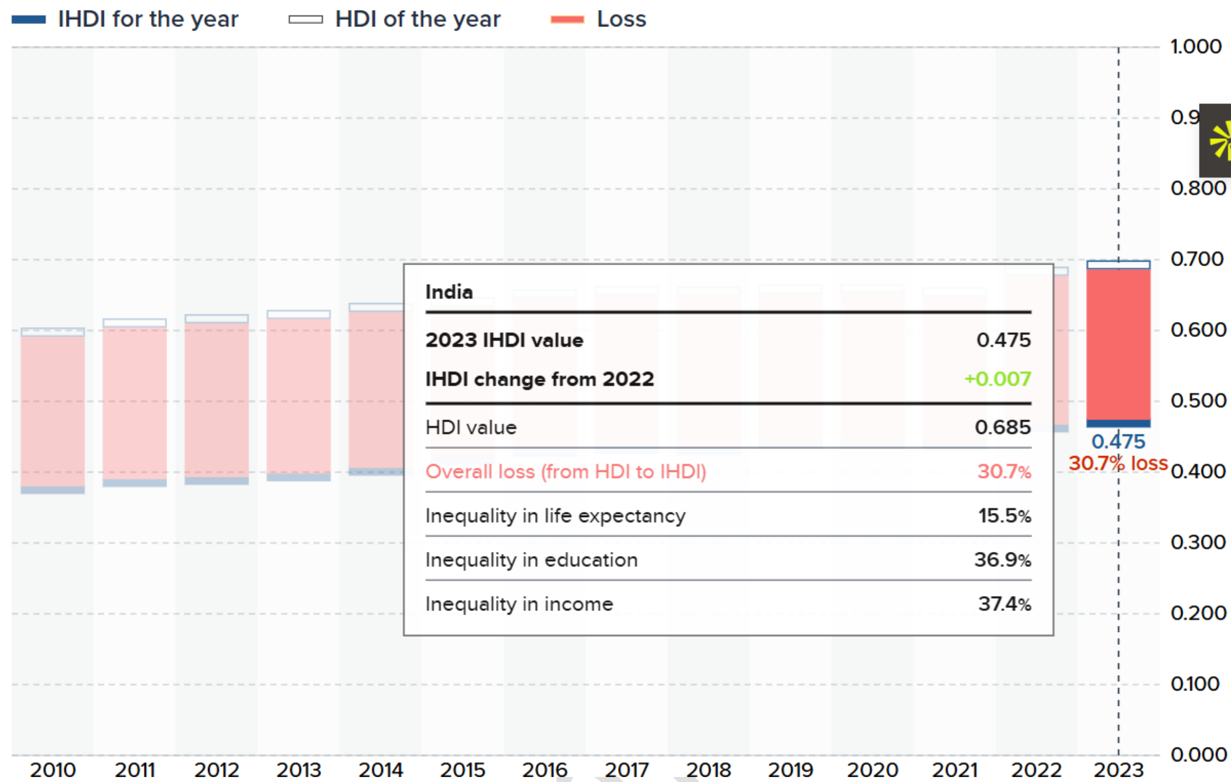
Trends in India's HDI 1990 – 2023



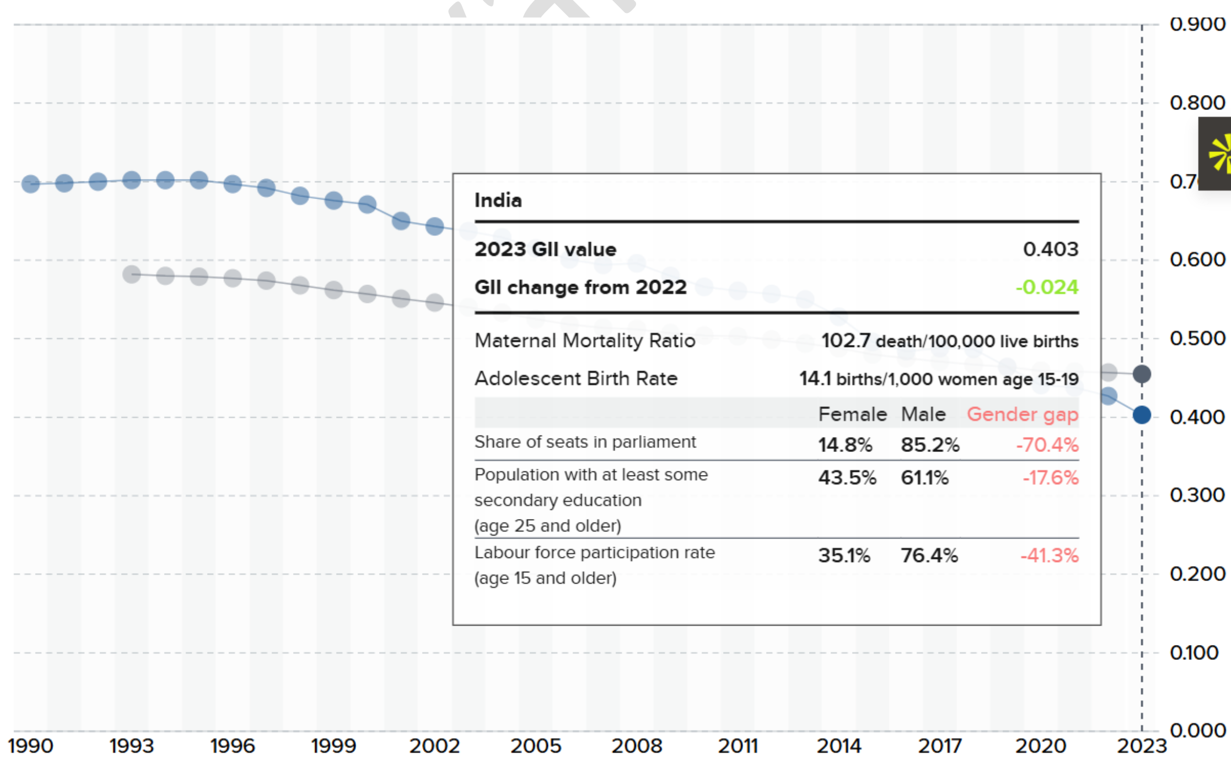
GDI in comparison 1990 – 2023



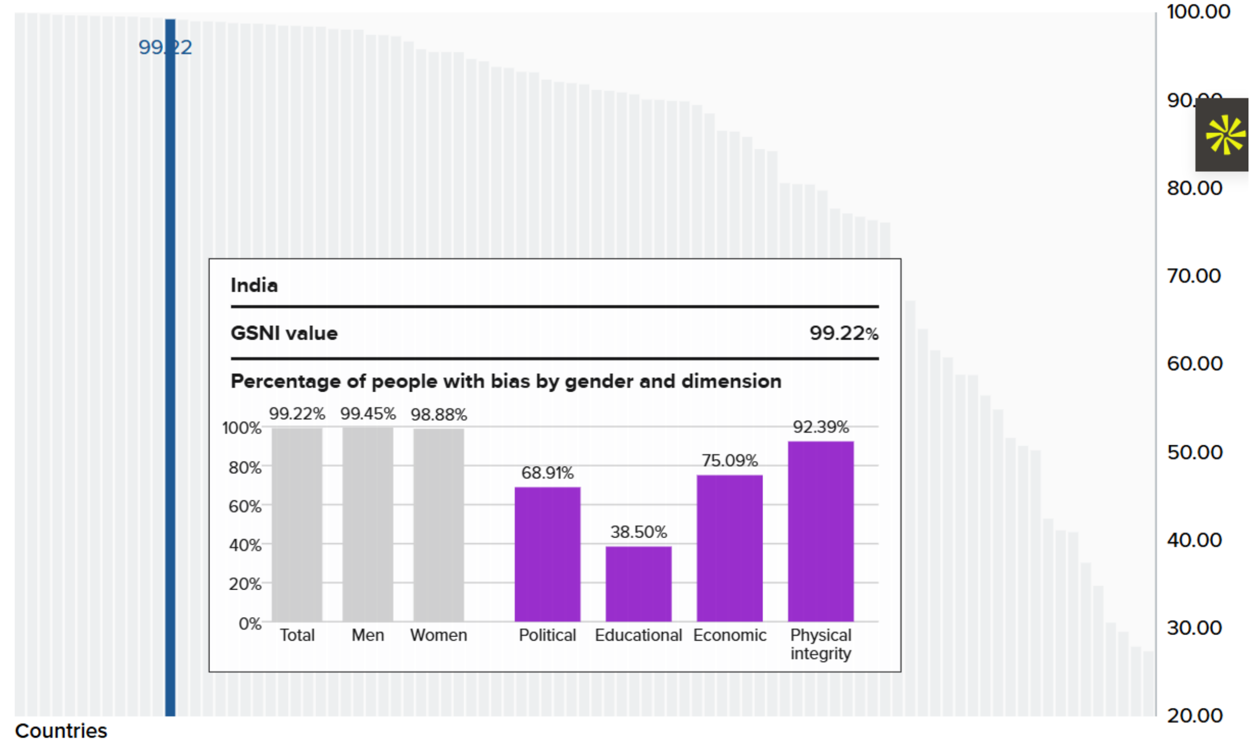
IHDI in comparison 2010 – 2023



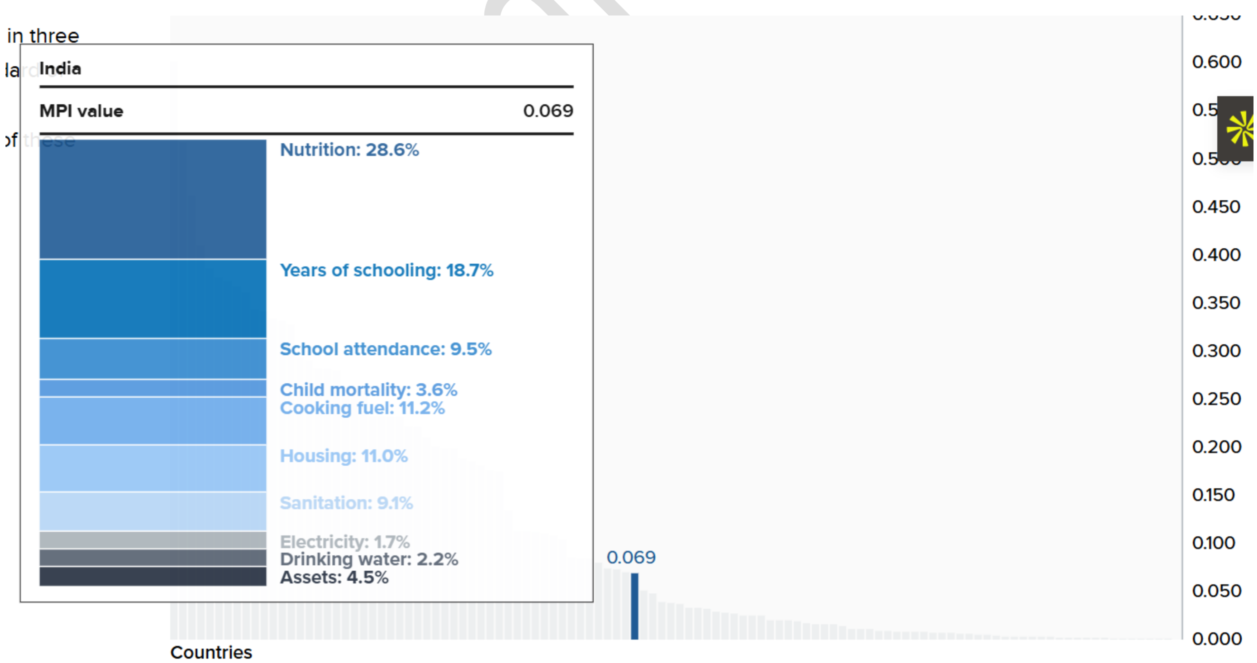
GII in comparison 1990 – 2023



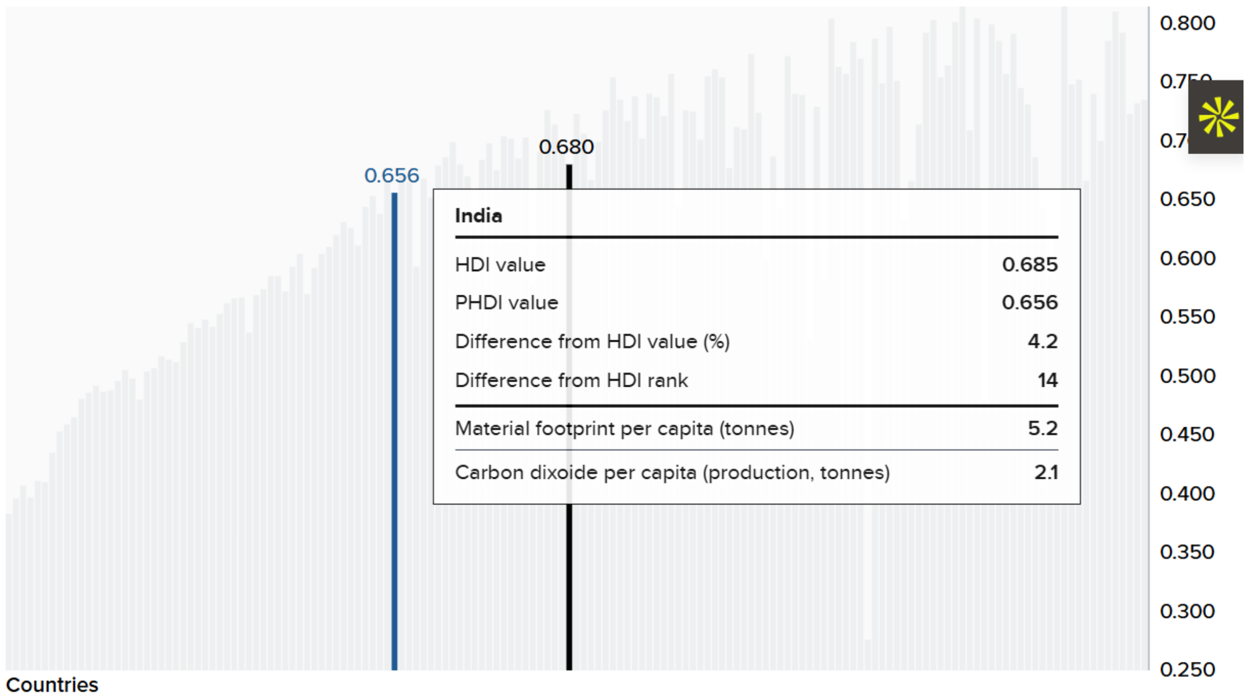
GSNI in comparison of latest year



MPI in comparison of latest year



PHDI in comparison of year 2023



Top 5 Countries in HDI

Rank	Country	HDI Value	Change from 2022
1	Iceland	0.972	▲ 0.008
2	Switzerland	0.970	▲ 0.004
5	Germany	0.959	▲ 0.004
2	Norway	0.970	▲ 0.003
4	Denmark	0.962	▲ 0.003
5	Sweden	0.959	0.000

Bottom 5 Countries in HDI

187	Burundi	0.439	▲ 0.002
188	Niger	0.419	▲ 0.005
191	Central African Republic	0.414	_
193	South Sudan	0.388	0.000
188	Mali	0.419	▲ 0.002
190	Chad	0.416	▲ 0.002
192	Somalia	0.404	▲ 0.019

Top 6 Economy & their HDI Ranks

Top 6 Economies	
Country	**Rank**
USA	**17**
China	**78**
Germany	**5**

India	130
Japan	23
UK	13